

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

INTERNATIONAL LONGSHOREMEN’S ASSOCIATION,
Complainant

v.

GATEWAY TERMINALS, LLC; CHARLESTON STEVEDORING
CO., LLC; PORTS AMERICA FLORIDA, INC.; CERES MARINE
TERMINALS, INC.; AND SSA ATLANTIC, LLC, *Respondents.*

DOCKET NO. 22-12

Served: August 18, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER TO FILE BRIEFING

Respondents’ partial motion to dismiss the first amended complaint and motion to strike the prayer for reparations (“Motion”) is currently pending. The Complaint and Respondents’ Motion both discuss the role of the Georgia Ports Authority and the South Carolina Ports Authority, however, any impact on sovereign immunity has not been addressed. As this issue could impact the adjudication and potential remedies available in this proceeding, the parties are required to file briefs addressing the issues raised below.

Complaint International Longshoremen’s Association (“ILA”) contends that Respondents, who are alleged to be marine terminal operators, have formed a monopoly or anticompetitive joint venture which has harmed ILA. The Complaint specifically alleges that the Georgia Ports Authority and South Carolina Ports Authority played a role in the joint venture (“JV”) at issue, stating:

38. The Proposed Agreement was drafted at the joint behest of the Georgia Ports Authority and South Carolina Ports Authority.

39. Both Ports Authorities wanted marine terminal operations to be consolidated into one provider.

40. The policymakers in South Carolina and Georgia did not want multiple marine terminal operators operating competitively in the same space in both Ports. . . .

67. Gateway and CSC are now operating as intended by state policymakers in order to eliminate competition at the marine terminals in Savannah and Charleston. . . .

96. The monopoly in Charleston and Savannah is not justified by any transportation factors. On the contrary, the joint ventures were instituted at the behest of state policymakers for governmental and political reasons. . . .

107. At the direction of the Georgia Ports Authority and the South Carolina State Ports Authority, Ports America, SSA and Ceres entered into the joint ventures to reduce competition amongst the three competing marine terminal operators in each port.

Complaint at 9-20.

ILA requests an unspecified amount of reparations and that “the Commission enter a declaratory order stating that the anti-competitive harm and trade restrictions realized by the joint ventures create a monopoly in the Ports of Savannah, GA and Charleston, SC.” Complaint at 21.

Respondents’ Motion states:

It is well known that Savannah and Charleston are operating ports, in which terminal real estate is controlled by the state ports authorities (not leased to private terminal operators), and containeryard services in those facilities are provided by public-sector workers employed by the state agency. The JVs were formed at the behest of the state port authorities, which elected to transition their stevedoring operations to a single stevedoring-concessionaire model to improve the operational efficiency of those facilities in the face of rising cargo volumes, looming terminal capacity constraints, and supply chain issues. Both South Carolina and Georgia have mandated appropriate separation between Gateway and CSC and have imposed state oversight to ensure that pricing at each port is set independently and competitively, and Respondents have maintained appropriate internal controls in compliance with these State mandates.

Motion at 7-8.

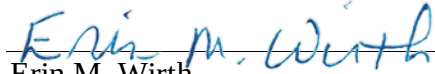
Although the South Carolina State Ports Authority and Georgia Ports Authority are not parties to this proceeding, it appears that the proceeding requests an order finding the joint ventures formed at their behest violates the Shipping Act.

The Supreme Court has held that state sovereign immunity bars the Federal Maritime Commission from adjudicating a private party’s complaint against a state-run port, including specifically against the South Carolina State Ports Authority. *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 747 (2002); *see also Puerto Rico Ports Auth. v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008); *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 30 S.R.R. 358 (FMC 2004).

“The preeminent purpose of state sovereign immunity is to accord States the dignity that is consistent with their status as sovereign entities.” *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 760 (2002). Only “States and arms of the State possess immunity from suits authorized by federal law.” *Northern Ins. Co. of N.Y. v. Chatham County*, 547 U.S. 189, 193 (2006). Therefore, Respondents, who are not alleged to be states or arms of the state, would not be entitled to sovereign immunity.

It is not clear what role, if any, sovereign immunity jurisprudence would play in this proceeding where state entities are not parties. However, it appears that political decisions made by the state ports are at issue. Additional briefing on this issue will be helpful at this stage of the proceeding.

For the reasons stated above, the parties shall file briefs indicating whether or not this proceeding or the requested relief implicate state sovereign immunity by September 15, 2022. Each party may file a response to the other party's brief by September 29, 2022.


Erin M. Wirth
Chief Administrative Law Judge